

CAR & GENERAL (KENYA) LIMITED

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER  
COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2016

|                                                                            | Notes | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----------------------------------------------------------------------------|-------|----------------|----------------|
| REVENUE                                                                    | 3(b)  | 9,735,788      | 9,929,190      |
| COST OF SALES                                                              |       | (8,152,768)    | (8,304,772)    |
| GROSS PROFIT                                                               |       | 1,583,020      | 1,624,418      |
| OTHER INCOME                                                               | 4     | 32,506         | 27,914         |
| GAIN IN FAIR VALUE OF INVESTMENT PROPERTIES                                | 12    | 153,761        | 339,022        |
| SELLING AND DISTRIBUTION COSTS                                             |       | (614,235)      | (631,512)      |
| ADMINISTRATIVE EXPENSES                                                    |       | (621,259)      | (619,130)      |
| FINANCE COSTS                                                              | 5     | (392,655)      | (369,172)      |
| NET FOREIGN EXCHANGE GAINS/(LOSSES)                                        |       | 9,140          | (290,471)      |
| PROFIT BEFORE TAXATION                                                     | 6     | 150,278        | 81,069         |
| TAXATION (CHARGE)/CREDIT                                                   | 8     | (61,406)       | 46,078         |
| PROFIT FOR THE YEAR                                                        |       | 88,872         | 127,147        |
| OTHER COMPREHENSIVE INCOME:                                                |       |                |                |
| <i>Items that will not be reclassified subsequently to profit or loss:</i> |       |                |                |
| Revaluation surplus on property                                            |       | 148,532        | 126,838        |
| Deferred tax on revaluation surplus                                        |       | (44,738)       | (17,901)       |
|                                                                            |       | 103,794        | 108,937        |
| <i>Items that may be reclassified subsequently to profit or loss:</i>      |       |                |                |
| Exchange gain/(loss) arising on translation of foreign operations          |       | 24,760         | (23,307)       |
|                                                                            |       | 128,554        | 85,630         |
| TOTAL COMPREHENSIVE INCOME FOR THE YEAR                                    |       | 217,426        | 212,777        |
| PROFIT FOR THE YEAR ATTRIBUTABLE TO:                                       |       |                |                |
| Owners of the parent                                                       |       | 89,057         | 30,628         |
| Non-controlling interests                                                  | 9     | (185)          | 96,519         |
| Profit for the year                                                        |       | 88,872         | 127,147        |
| TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:                                |       |                |                |
| Owners of the parent                                                       |       | 217,611        | 116,258        |
| Non-controlling interests                                                  | 9     | (185)          | 96,519         |
| Total comprehensive income for the year                                    |       | 217,426        | 212,777        |
| EARNINGS PER SHARE – basic and diluted                                     |       |                |                |
|                                                                            | 10    | 2.22           | 0.76           |

CAR & GENERAL (KENYA) LIMITED

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER  
COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2016

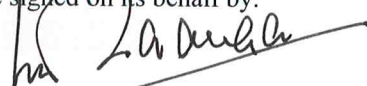
|                                                                            | Notes | 2016<br>Sh'000 | 2015<br>Sh'000 |
|----------------------------------------------------------------------------|-------|----------------|----------------|
| REVENUE                                                                    |       | 122,116        | 112,757        |
| DIRECT COSTS                                                               |       | (20,437)       | (9,724)        |
| GROSS PROFIT                                                               |       | 101,679        | 103,033        |
| OTHER INCOME                                                               |       | 16,498         | 47,714         |
| GAIN IN FAIR VALUE OF INVESTMENT PROPERTY                                  | 12    | 102,203        | 89,022         |
| SELLING AND DISTRIBUTION COSTS                                             |       | (11,862)       | (9,962)        |
| ADMINISTRATIVE EXPENSES                                                    |       | (67,404)       | (115,396)      |
| FINANCE COSTS                                                              |       | (1,915)        | (4,422)        |
| NET FOREIGN EXCHANGE (LOSSES)/GAINS                                        |       | (32,090)       | 15,244         |
| PROFIT BEFORE TAXATION                                                     |       | 107,109        | 125,233        |
| TAXATION CREDIT/(CHARGE)                                                   | 8     | 18,033         | (40,413)       |
| PROFIT FOR THE YEAR                                                        |       | 125,142        | 84,820         |
| OTHER COMPREHENSIVE INCOME:                                                |       |                |                |
| <i>Items that will not be reclassified subsequently to profit or loss:</i> |       |                |                |
| Revaluation surplus on property                                            |       | 32,648         | 112,660        |
| Deferred tax on revaluation surplus                                        |       | (9,794)        | (17,901)       |
|                                                                            |       | 22,854         | 94,759         |
| <i>Items that may be reclassified subsequently to profit or loss:</i>      |       |                |                |
| Exchange difference arising on translation of foreign operations           |       | 17,389         | 986            |
|                                                                            |       | 40,243         | 95,745         |
| TOTAL COMPREHENSIVE INCOME FOR THE YEAR                                    |       | 165,385        | 180,565        |

CAR & GENERAL (KENYA) LIMITED

CONSOLIDATED STATEMENT OF FINANCIAL POSITION  
AS AT 30 SEPTEMBER 2016

|                                             | Notes | 2016<br>Sh'000          | 2015<br>Sh'000          |
|---------------------------------------------|-------|-------------------------|-------------------------|
| <b>ASSETS</b>                               |       |                         |                         |
| <b>Non-current assets</b>                   |       |                         |                         |
| Investment properties                       | 12    | 2,555,412               | 2,598,250               |
| Property, plant and equipment               | 14(a) | 1,417,614               | 1,035,423               |
| Intangible assets                           | 16    | 3,557                   | 4,539                   |
| Deferred tax asset                          | 22(b) | 61,762                  | 73,246                  |
|                                             |       | <u>4,038,345</u>        | <u>3,711,458</u>        |
| <b>Current assets</b>                       |       |                         |                         |
| Inventories                                 | 18    | 3,598,384               | 3,092,772               |
| Trade and other receivables                 | 19    | 1,829,998               | 1,968,677               |
| Due from directors                          | 20(c) | 79                      | 902                     |
| Corporate tax recoverable                   | 8(c)  | 45,664                  | 32,026                  |
| Cash and bank balances                      | 25(c) | 192,728                 | 182,212                 |
|                                             |       | <u>5,666,853</u>        | <u>5,276,589</u>        |
| <b>Total assets</b>                         |       | <u><u>9,705,198</u></u> | <u><u>8,988,047</u></u> |
| <b>EQUITY AND LIABILITIES</b>               |       |                         |                         |
| <b>Capital and reserves</b>                 |       |                         |                         |
| Share capital                               | 21    | 200,516                 | 200,516                 |
| Revaluation surplus                         |       | 604,493                 | 508,856                 |
| Retained earnings                           |       | 2,271,246               | 2,174,032               |
| Exchange translation reserve                |       | (22,903)                | (47,663)                |
| Equity attributable to owners of the parent |       | <u>3,053,352</u>        | <u>2,835,741</u>        |
| Non-controlling interests                   | 9     | 185,187                 | 185,372                 |
| <b>Total equity</b>                         |       | <u>3,238,539</u>        | <u>3,021,113</u>        |
| <b>Non-current liabilities</b>              |       |                         |                         |
| Deferred tax liability                      | 22(b) | 710,939                 | 642,235                 |
| Borrowings                                  | 23    | 119,498                 | 328,909                 |
|                                             |       | <u>830,437</u>          | <u>971,144</u>          |
| <b>Current liabilities</b>                  |       |                         |                         |
| Borrowings                                  | 23    | 3,389,099               | 2,484,473               |
| Trade and other payables                    | 24    | 2,245,456               | 2,507,662               |
| Corporate tax payable                       | 8(c)  | 1,667                   | 3,655                   |
|                                             |       | <u>5,636,222</u>        | <u>4,995,790</u>        |
| <b>Total equity and liabilities</b>         |       | <u><u>9,705,198</u></u> | <u><u>8,988,047</u></u> |

The financial statements on pages 10 to 58 were approved by the board of directors on 16 December 2016 and were signed on its behalf by:

  
N. Ng'ang'a  
Director

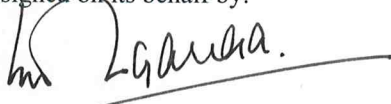
  
V. V. Gidoomal  
Director

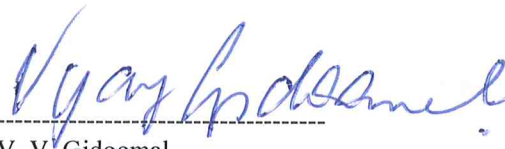
# CAR & GENERAL (KENYA) LIMITED

## COMPANY STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2016

|                                     | Notes | 2016<br>Sh'000 | 2015<br>Sh'000 |
|-------------------------------------|-------|----------------|----------------|
| <b>ASSETS</b>                       |       |                |                |
| <b>Non current assets</b>           |       |                |                |
| Investment properties               | 12    | 1,445,092      | 1,548,250      |
| Property, plant and equipment       | 15    | 462,791        | 480,464        |
| Intangible assets                   | 16    | 2,977          | 3,721          |
| Investment in subsidiaries          | 17    | 26,844         | 26,844         |
|                                     |       | <hr/>          | <hr/>          |
|                                     |       | 1,937,704      | 2,059,279      |
| <b>Current assets</b>               |       |                |                |
| Inventories                         | 18    | 15,171         | 32,279         |
| Trade and other receivables         | 19    | 84,870         | 40,357         |
| Due from subsidiaries               | 20(a) | 835,027        | 1,377,808      |
| Due from related parties            | 20(c) | 79             | 902            |
| Corporate tax recoverable           | 8(c)  | 1,182          | -              |
| Cash and bank balances              |       | 8,134          | 11,129         |
|                                     |       | <hr/>          | <hr/>          |
|                                     |       | 944,463        | 1,462,475      |
| <b>Total assets</b>                 |       | <hr/>          | <hr/>          |
|                                     |       | 2,882,167      | 3,521,754      |
| <b>EQUITY AND LIABILITIES</b>       |       |                |                |
| <b>Capital and reserves</b>         |       |                |                |
| Share capital                       | 21    | 200,516        | 200,516        |
| Revaluation surplus                 |       | 380,340        | 363,312        |
| Retained earnings                   |       | 1,049,324      | 918,356        |
| Exchange translation reserve        |       | 18,489         | 1,100          |
|                                     |       | <hr/>          | <hr/>          |
| Total shareholders' funds           |       | 1,648,669      | 1,483,284      |
| <b>Non current liabilities</b>      |       |                |                |
| Deferred tax liability              | 22(a) | 536,560        | 563,544        |
| Borrowings                          | 23    | 5,563          | 44,174         |
|                                     |       | <hr/>          | <hr/>          |
|                                     |       | 542,123        | 607,718        |
| <b>Current liabilities</b>          |       |                |                |
| Borrowings                          | 23    | 554,963        | 218,068        |
| Trade and other payables            | 24    | 85,025         | 42,956         |
| Due to subsidiaries                 | 20(b) | 51,387         | 1,166,073      |
| Corporate tax payable               | 8(c)  | -              | 3,655          |
|                                     |       | <hr/>          | <hr/>          |
|                                     |       | 691,375        | 1,430,752      |
| <b>Total equity and liabilities</b> |       | <hr/>          | <hr/>          |
|                                     |       | 2,882,167      | 3,521,754      |

The financial statements on pages 10 to 58 were approved by the board of directors on 16 December 2016 and were signed on its behalf by:

  
-----  
N Ng'ang'a  
Director

  
-----  
V. V. Gidoomal  
Director



CAR & GENERAL (KENYA) LIMITED

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY  
FOR THE YEAR ENDED 30 SEPTEMBER 2016

|                                                                  | Share capital<br>Sh '000 | Revaluation<br>surplus<br>Sh '000 | Retained<br>earnings<br>Sh '000 | Exchange<br>translation<br>reserve<br>(deficit)<br>Sh '000 | Attributable<br>to owners<br>of the<br>parent<br>Sh '000 | Non -<br>controlling<br>interests<br>Sh '000 | Total<br>Sh '000 |
|------------------------------------------------------------------|--------------------------|-----------------------------------|---------------------------------|------------------------------------------------------------|----------------------------------------------------------|----------------------------------------------|------------------|
| <b>Year ended 30 September 2015</b>                              |                          |                                   |                                 |                                                            |                                                          |                                              |                  |
| At 1 October 2014                                                | 200,516                  | 408,162                           | 2,159,223                       | (24,356)                                                   | 2,743,545                                                | 88,853                                       | 2,832,398        |
| Profit for the year                                              | -                        | -                                 | 30,628                          | -                                                          | 30,628                                                   | 96,519                                       | 127,147          |
| Revaluation surplus on property                                  | -                        | 126,838                           | -                               | -                                                          | 126,838                                                  | -                                            | 126,838          |
| Deferred tax on revaluation surplus                              | -                        | (17,901)                          | -                               | -                                                          | (17,901)                                                 | -                                            | (17,901)         |
| Exchange difference arising on translation of foreign operations | -                        | -                                 | -                               | (23,307)                                                   | (23,307)                                                 | -                                            | (23,307)         |
| Total comprehensive income for the year                          | -                        | 108,937                           | 30,628                          | (23,307)                                                   | 116,258                                                  | 96,519                                       | 212,777          |
| Transfer of excess depreciation                                  | -                        | (10,856)                          | 10,856                          | -                                                          | -                                                        | -                                            | -                |
| Deferred tax on excess depreciation transfer                     | -                        | 2,613                             | (2,613)                         | -                                                          | -                                                        | -                                            | -                |
| Dividend paid – 2014                                             | -                        | -                                 | (24,062)                        | -                                                          | (24,062)                                                 | -                                            | (24,062)         |
| At 30 September 2015                                             | 200,516                  | 508,856                           | 2,174,032                       | (47,663)                                                   | 2,835,741                                                | 185,372                                      | 3,021,113        |
| <b>Year ended 30 September 2016</b>                              |                          |                                   |                                 |                                                            |                                                          |                                              |                  |
| At 1 October 2015                                                | 200,516                  | 508,856                           | 2,174,032                       | (47,663)                                                   | 2,835,741                                                | 185,372                                      | 3,021,113        |
| Profit for the year                                              | -                        | -                                 | 89,057                          | -                                                          | 89,057                                                   | (185)                                        | 88,872           |
| Revaluation surplus on property                                  | -                        | 148,532                           | -                               | -                                                          | 148,532                                                  | -                                            | 148,532          |
| Deferred tax on revaluation surplus                              | -                        | (44,738)                          | -                               | -                                                          | (44,738)                                                 | -                                            | (44,738)         |
| Exchange difference arising on translation of foreign operations | -                        | -                                 | -                               | 24,760                                                     | 24,760                                                   | -                                            | 24,760           |
| Total comprehensive income for the year                          | -                        | 103,794                           | 89,057                          | 24,760                                                     | 217,611                                                  | (185)                                        | 217,426          |
| Transfer of excess depreciation                                  | -                        | (10,654)                          | 10,654                          | -                                                          | -                                                        | -                                            | -                |
| Deferred tax on excess depreciation transfer                     | -                        | 2,497                             | (2,497)                         | -                                                          | -                                                        | -                                            | -                |
| At 30 September 2016                                             | 200,516                  | 604,493                           | 2,271,246                       | (22,903)                                                   | 3,053,352                                                | 185,187                                      | 3,238,539        |

CAR & GENERAL (KENYA) LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY  
FOR THE YEAR ENDED 30 SEPTEMBER 2016

|                                                              | Share<br>capital<br>Sh '000 | Revaluation<br>surplus<br>Sh '000 | Retained<br>earnings<br>Sh '000 | Exchange<br>translation<br>reserve<br>Sh '000 | Total<br>Sh '000 |
|--------------------------------------------------------------|-----------------------------|-----------------------------------|---------------------------------|-----------------------------------------------|------------------|
| <b>Year ended 30 September 2015</b>                          |                             |                                   |                                 |                                               |                  |
| At 1 October 2014                                            | 200,516                     | 274,123                           | 852,028                         | 114                                           | 1,326,781        |
| Profit for the year                                          | -                           |                                   | 84,820                          | -                                             | 84,820           |
| Revaluation surplus on property                              | -                           | 112,660                           | -                               | -                                             | 112,660          |
| Deferred tax on revaluation surplus                          | -                           | (17,901)                          | -                               | -                                             | (17,901)         |
| Exchange difference arising on translation of foreign branch | -                           | -                                 | -                               | 986                                           | 986              |
| Total comprehensive income for the year                      | -                           | 94,759                            | 84,820                          | 986                                           | 180,565          |
| Transfer of excess depreciation                              | -                           | (7,957)                           | 7,957                           | -                                             | -                |
| Deferred tax on depreciation transfer                        | -                           | 2,387                             | (2,387)                         | -                                             | -                |
| Dividend paid - 2014                                         | -                           | -                                 | (24,062)                        | -                                             | (24,062)         |
| At 30 September 2015                                         | 200,516                     | 363,312                           | 918,356                         | 1,100                                         | 1,483,284        |
| <b>Year ended 30 September 2016</b>                          |                             |                                   |                                 |                                               |                  |
| At 1 October 2015                                            | 200,516                     | 363,312                           | 918,356                         | 1,100                                         | 1,483,284        |
| Profit for the year                                          | -                           | -                                 | 125,142                         | -                                             | 125,142          |
| Revaluation surplus on property                              | -                           | 32,648                            | -                               | -                                             | 32,648           |
| Deferred tax on revaluation surplus                          | -                           | (9,794)                           | -                               | -                                             | (9,794)          |
| Exchange difference arising on translation of foreign branch | -                           | -                                 | -                               | 17,389                                        | 17,389           |
| Total comprehensive income for the year                      | -                           | 22,854                            | 125,142                         | 17,389                                        | 165,385          |
| Transfer of excess depreciation                              | -                           | (8,323)                           | 8,323                           | -                                             | -                |
| Deferred tax on depreciation transfer                        | -                           | 2,497                             | (2,497)                         | -                                             | -                |
| At 30 September 2016                                         | 200,516                     | 380,340                           | 1,049,324                       | 18,489                                        | 1,648,669        |

CONSOLIDATED STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 30 SEPTEMBER 2016

|                                                                                           | Notes | 2016<br>Sh'000 | 2015<br>Sh'000 |
|-------------------------------------------------------------------------------------------|-------|----------------|----------------|
| <b>Cash flows from operating activities</b>                                               |       |                |                |
| Net cash (used in)/generated from operations                                              | 25(a) | (180,794)      | 453,368        |
| Corporate tax paid                                                                        | 8(c)  | (42,425)       | (48,778)       |
|                                                                                           |       | <hr/>          | <hr/>          |
| Net cash (used in)/generated from operating activities                                    |       | (223,219)      | 404,590        |
|                                                                                           |       | <hr/>          | <hr/>          |
| <b>Cash flows from investing activities</b>                                               |       |                |                |
| Purchase of property, plant and equipment                                                 | 14(a) | (357,309)      | (130,017)      |
| Purchase of intangible assets                                                             |       | -              | (357)          |
| Proceeds on disposal of investment properties                                             |       | 225,000        | -              |
| Proceeds on disposal of property, plant and equipment                                     |       | 2,250          | 1,073          |
|                                                                                           |       | <hr/>          | <hr/>          |
| Net cash used in investing activities                                                     |       | (130,049)      | (129,301)      |
|                                                                                           |       | <hr/>          | <hr/>          |
| <b>Cash flows from financing activities</b>                                               |       |                |                |
| Loans received                                                                            | 25(b) | 7,169,229      | 4,344,004      |
| Loans repaid                                                                              | 25(b) | (6,398,648)    | (4,209,191)    |
| Dividend paid                                                                             |       | -              | (24,062)       |
| Interest paid                                                                             | 5     | (392,655)      | (369,172)      |
|                                                                                           |       | <hr/>          | <hr/>          |
| Net cash generated from/(used in) financing activities                                    |       | 377,926        | (258,421)      |
|                                                                                           |       | <hr/>          | <hr/>          |
| <b>Net increase in cash and cash equivalents</b>                                          |       | 24,648         | 16,868         |
| <b>Cash and cash equivalents at the beginning of year</b>                                 |       | 68,443         | 57,243         |
| <b>Effects of exchange rate changes on the balance of cash held in foreign operations</b> |       | (4,172)        | (5,668)        |
|                                                                                           |       | <hr/>          | <hr/>          |
| <b>Cash and cash equivalents at the end of year</b>                                       | 25(c) | <u>88,919</u>  | <u>68,443</u>  |

CAR & GENERAL (KENYA) LIMITED

COMPANY STATEMENT OF CASH FLOWS  
FOR THE YEAR ENDED 30 SEPTEMBER 2016

|                                                             | Notes | 2016<br>Sh'000 | 2015<br>Sh'000 |
|-------------------------------------------------------------|-------|----------------|----------------|
| <b>Cash flows from operating activities</b>                 |       |                |                |
| Cash (used in)/generated from operations                    | 25(a) | (507,768)      | 340,494        |
| Interest paid                                               |       | (1,915)        | (4,422)        |
| Corporate tax paid                                          | 8(c)  | (23,582)       | (20,915)       |
|                                                             |       | <hr/>          | <hr/>          |
| Net cash (used in)/generated from operating activities      |       | (533,265)      | 315,157        |
|                                                             |       | <hr/>          | <hr/>          |
| <b>Cash flows from investing activities</b>                 |       |                |                |
| Purchase of property, plant and equipment                   | 15    | (2,084)        | (3,701)        |
| Proceeds on disposal of property, plant and equipment       |       | 225,380        | -              |
|                                                             |       | <hr/>          | <hr/>          |
| Net cash used in investing activities                       |       | (223,296)      | (3,701)        |
|                                                             |       | <hr/>          | <hr/>          |
| <b>Cash flows from financing activities</b>                 |       |                |                |
| Loans received                                              |       | 1,225,484      | 588,757        |
| Loans repaid                                                |       | (918,596)      | (872,676)      |
| Dividend paid                                               |       | -              | (24,062)       |
|                                                             |       | <hr/>          | <hr/>          |
| Net cash generated from/(used in) financing activities      |       | 306,888        | (307,981)      |
|                                                             |       | <hr/>          | <hr/>          |
| <b>Net (decrease)/increase in cash and cash equivalents</b> |       | (3,081)        | 396            |
| <b>Cash and cash equivalents at the beginning of year</b>   |       | (35,155)       | (35,551)       |
|                                                             |       | <hr/>          | <hr/>          |
| <b>Cash and cash equivalents at the end of year</b>         | 25(c) | (38,236)       | (35,155)       |
|                                                             |       | <hr/> <hr/>    | <hr/> <hr/>    |